

Kill Fee Clause

For insertion into: Section 7 (Termination) of the Freelance / Consulting Service Agreement **Client:** [Client Name / Company] **Project:** [Project Name] **Date:** [Date]

This is a structured starting point covering common freelance cancellation practice — not legal advice. Have a lawyer review before use, and confirm enforceability in your jurisdiction.

7A. Cancellation and Kill Fee

If Client cancels this engagement prior to completion of all deliverables described in the Scope of Work, the following applies in addition to Section 7 (Termination):

Notice required: Client will provide [Your Name / Business Name] with no less than **[14 / 30]** days' written notice of cancellation.

Structure (select one):

- ☐ **Percentage of remaining fee.** Client will pay a cancellation fee equal to **[10–25]%** of the remaining (unbilled) contract value as of the date of cancellation, in addition to payment for all work completed to date.
- ☐ **Work-to-date plus flat cancellation fee.** Client will pay for all work completed to date, plus a flat cancellation fee of **[\$Amount]**, adjusted as follows based on notice given: [full fee if notice < 14 days / 50% if 14–30 days / waived if 30+ days].

Cancellation Fee Calculation

Item	Amount
Total project fee	[\$Amount]
Work completed to date	[\$Amount]
Remaining (unbilled) contract value	[\$Amount]
Kill fee (per structure selected above)	[\$Amount]
Total due upon cancellation	[\$Amount]

Payment Timing

The kill fee is due alongside the final invoice for work completed to date, payable within **[X]** days of the cancellation notice, per the payment terms in the Service Agreement.

Notes

- This clause supplements, and does not replace, the standard "payment for work completed" language already in the Service Agreement's Termination section.
 - Consider adding this clause to retainer agreements as well, where early cancellation can end recurring income with little warning.
 - Revisit the percentage or flat amount for engagements of unusual size — a single fixed number rarely fits every project.
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Acknowledged and agreed as an addendum to the Service Agreement dated [Date]:

Client: _____ Date: _____

[Your Name]: _____ Date: _____

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